state's interests, leaving them with little recourse to advocate for their positions or those of their allies (Hirschman 2004).

Further complicating the calculus, exit often requires undoing costly commitments made upon joining the institution. IO membership frequently demands policy adjustments to meet accession criteria, as illustrated by China's liberalization to join the WTO in 2001. These investments lose value upon departure, and rejoining the IO later would likely require additional concessions because countries often shirk their multilateral commitments over time. Moreover, existing members may exploit the re-entry process to extract more favorable terms or block re-admission altogether for political or security reasons (Davis and Pratt 2020; Davis 2023).

The repercussions of exit extend far beyond the departing state; they can also damage an IO's stability and legitimacy. When a powerful state or even a coalition of smaller states withdraws, the institution risks losing critical financial and informational resources, potentially crippling its ability to fulfill its mandate (Broz 2008; von Borzyskowski and Vabulas 2024b). Staff and management structures may falter as IOs rely heavily on powerful member states to staff their secretariats and host their headquarters (Kilby 2013; Novosad and Werker 2019; Parízek 2017), leaving the IO vulnerable to irrelevance or even collapse (Gray 2018).

2.2.2 Creating Competitor IOs

Leaders dissatisfied with existing IOs have increasingly turned to an alternative to exit: creating rival institutions or aligning with alternative organizations that better suit their preferences. In an era of IO proliferation, states now have a growing menu of options (Alter and Meunier 2009; Pratt 2021), enabling populists to participate in IOs whose rules, norms, or memberships align most closely with their ideological leanings. This strategy allows them to sidestep IOs they perceive as elitist or overly constraining.

However, establishing a new IO is no small feat. It requires immense financial resources, political will, and the ability to recruit a critical mass of member states. Thus, states often first try to reform an IO to suit their needs rather than create a new one (Jupille, Mattli, and Snidal 2013). Building